ANNUAL OPERATING BUDGET

Cobalt Marketplace | New Orleans, LA

Property	Cobalt Marketplace
Fiscal Year	2020
Submitted By	Redwood Property Management
Submitted	March 27, 2026

Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$297,589	$306,231	$306,736	$9,147	3.1%	$61,347.25
5010 Loss to Lease	$940,796	$894,022	$949,555	$8,759	0.9%	$189,910.95
5020 Vacancy Loss	$188,622	$193,490	$200,143	$11,521	6.1%	$40,028.58
5030 Concessions	$995,778	$1,033,399	$1,042,328	$46,551	4.7%	$208,465.67
5040 Bad Debt	$219,082	$205,005	$210,722	-$8,360	-3.8%	$42,144.47
5050 Late Fees	$795,566	$796,103	$811,420	$15,854	2.0%	$162,284.03
5060 Utility Reimbursements	$60,674	$60,400	$60,584	-$90	-0.1%	$12,116.71
5070 Parking Income	$959,472	$1,009,053	$1,036,107	$76,636	8.0%	$207,221.43
5080 Application Fees	$827,678	$813,994	$862,236	$34,558	4.2%	$172,447.20
5090 Pet Rent	$571,118	$564,403	$601,147	$30,030	5.3%	$120,229.46
5100 Laundry Income	$455,075	$465,810	$469,037	$13,962	3.1%	$93,807.44
5110 Cable/Internet Revenue	$959,516	$947,983	$1,012,251	$52,735	5.5%	$202,450.14
5120 CAM Reimbursements	$1,047,060	$967,983	$985,521	-$61,539	-5.9%	$197,104.13
5130 Tax Reimbursements	$771,717	$756,506	$762,687	-$9,029	-1.2%	$152,537.44
5140 Insurance Reimbursements	$200,625	$216,009	$225,391	$24,765	12.3%	$45,078.12
5150 Percentage Rent	$133,184	$135,478	$135,813	$2,629	2.0%	$27,162.70
5160 Misc. Income	$118,048	$114,223	$121,253	$3,206	2.7%	$24,250.68
5170 Payroll - Management	$159,335	$155,587	$165,455	$6,120	3.8%	$33,091.07
5180 Payroll - Leasing	$587,086	$603,798	$620,568	$33,482	5.7%	$124,113.64
5190 Payroll - Maintenance	$335,060	$349,860	$362,042	$26,981	8.1%	$72,408.35
5200 Payroll Taxes & Benefits	$981,208	$987,674	$1,011,836	$30,628	3.1%	$202,367.22
5210 Repairs - Plumbing	$107,761	$106,001	$106,951	-$810	-0.8%	$21,390.21

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5420 Office Supplies	$557,840	$555,173	$591,816	$33,976	6.1%	$118,363.26
5430 Legal & Professional	$779,511	$751,290	$782,995	$3,484	0.4%	$156,598.96
5440 Accounting & Audit	$491,179	$461,779	$492,331	$1,152	0.2%	$98,466.20
5450 Licenses & Permits	$859,946	$900,243	$912,581	$52,635	6.1%	$182,516.14
5460 Management Fee	$482,776	$513,079	$520,330	$37,554	7.8%	$104,065.97
5470 Property Insurance	$377,479	$397,725	$416,773	$39,294	10.4%	$83,354.55
5480 Real Estate Taxes	$822,965	$768,718	$792,931	-$30,034	-3.6%	$158,586.18
5490 Asset Management Fee	$256,373	$241,354	$245,063	-$11,310	-4.4%	$49,012.58
5500 Replacement Reserves	$904,334	$910,316	$942,127	$37,793	4.2%	$188,425.39
5510 Roof Repairs	$690,489	$726,619	$730,704	$40,214	5.8%	$146,140.76
5520 Parking Lot Repairs	$167,980	$180,203	$184,474	$16,495	9.8%	$36,894.86
5530 Signage	$128,656	$137,166	$143,872	$15,215	11.8%	$28,774.30
5540 Tenant Improvements	$289,129	$268,078	$283,357	-$5,772	-2.0%	$56,671.33
5550 Leasing Commissions	$366,252	$386,195	$407,927	$41,675	11.4%	$81,585.43
5000 Gross Potential Rent	$1,006,758	$1,012,839	$1,068,812	$62,054	6.2%	$213,762.30
5010 Loss to Lease	$988,927	$973,498	$1,035,077	$46,150	4.7%	$207,015.41
5020 Vacancy Loss	$190,207	$202,855	$216,785	$26,578	14.0%	$43,357.05
5030 Concessions	$288,893	$285,369	$296,637	$7,743	2.7%	$59,327.36
5040 Bad Debt	$728,949	$735,016	$755,978	$27,028	3.7%	$151,195.53
5050 Late Fees	$86,702	$90,373	$95,824	$9,122	10.5%	$19,164.82
5060 Utility Reimbursements	$773,256	$768,586	$799,801	$26,545	3.4%	$159,960.30
5070 Parking Income	$372,636	$352,334	$369,707	-$2,929	-0.8%	$73,941.40
5080 Application Fees	$343,148	$334,770	$336,727	-$6,422	-1.9%	$67,345.33
5090 Pet Rent	$559,334	$553,301	$557,138	-$2,196	-0.4%	$111,427.58
5100 Laundry Income	$647,075	$623,900	$646,211	-$864	-0.1%	$129,242.23
5110 Cable/Internet Revenue	$692,680	$641,193	$670,553	-$22,127	-3.2%	$134,110.60
5120 CAM Reimbursements	$675,210	$668,524	$698,612	$23,402	3.5%	$139,722.40
5130 Tax Reimbursements	$638,021	$612,171	$615,406	-$22,615	-3.5%	$123,081.28
5140 Insurance Reimbursements	$251,795	$261,382	$266,738	$14,943	5.9%	$53,347.56
5150 Percentage Rent	$576,287	$601,341	$603,597	$27,310	4.7%	$120,719.41
5160 Misc. Income	$287,490	$283,748	$287,276	-$214	-0.1%	$57,455.14
5170 Payroll - Management	$667,092	$702,213	$707,216	$40,124	6.0%	$141,443.25
5180 Payroll - Leasing	$739,404	$766,903	$811,265	$71,861	9.7%	$162,252.98
5190 Payroll - Maintenance	$530,056	$564,427	$571,461	$41,405	7.8%	$114,292.30
5200 Payroll Taxes & Benefits	$703,695	$728,195	$739,384	$35,689	5.1%	$147,876.75
5210 Repairs - Plumbing	$675,207	$625,430	$659,486	-$15,720	-2.3%	$131,897.28
5220 Repairs - HVAC	$917,365	$922,489	$961,669	$44,304	4.8%	$192,333.78
5230 Repairs - Electrical	$125,350	$133,115	$136,259	$10,909	8.7%	$27,251.70
5240 Repairs - Appliances	$970,856	$999,012	$1,009,919	$39,063	4.0%	$201,983.76
5250 Painting & Decorating	$404,512	$400,984	$419,936	$15,423	3.8%	$83,987.17
5260 Flooring	$760,014	$704,270	$720,952	-$39,061	-5.1%	$144,190.42
5270 Make-Ready / Turnover	$1,031,450	$1,040,959	$1,088,665	$57,215	5.5%	$217,732.90

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Financial Analysis

Operating expenses totaled $364,000 or approximately 21.46 per square foot, with real estate taxes representing the largest line item. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Management fees are calculated at 6.6% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 5.3% over the hold period. Debt service coverage ratio was 7.35x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $78,000, representing a 2.2% increase over the prior year. Average rent is $20 per square foot with parking at a ratio of 9 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Property Operations

Collections for the period were 94.2% of billed charges, with bad debt of 7.9% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 42 additional team members. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 35 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 48th business day. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 24 hours. Average rent is $20 per square foot with parking at a ratio of 35 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Operating Performance

The going-in capitalization rate of 6.24% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.27x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Net operating income is projected to grow at a compound annual rate of 3.6% over the hold period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The going-in capitalization rate of 5.88% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.5% of collected revenue and are included in operating expenses.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 35 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average rent is $20 per square foot with parking at a ratio of 16 spaces per 1,000 square feet. Service requests are tracked through a work-order system with an average completion time of 41 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 19th business day.

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5240 Repairs - Appliances	$151,525	$157,532	$158,095	$6,570	4.3%	$31,619.09
5250 Painting & Decorating	$163,331	$165,155	$174,926	$11,595	7.1%	$34,985.13
5260 Flooring	$763,686	$812,860	$847,504	$83,818	11.0%	$169,500.75
5270 Make-Ready / Turnover	$271,106	$262,841	$276,553	$5,447	2.0%	$55,310.69
5280 Landscaping Contract	$495,819	$524,759	$542,194	$46,375	9.4%	$108,438.80
5290 Snow Removal	$1,004,701	$999,369	$1,052,852	$48,151	4.8%	$210,570.43
5300 Janitorial	$335,557	$358,912	$366,837	$31,281	9.3%	$73,367.45
5310 Pest Control	$329,129	$314,656	$327,943	-$1,185	-0.4%	$65,588.67
5320 Trash Removal	$283,627	$286,551	$298,573	$14,946	5.3%	$59,714.50
5330 Elevator Contract	$98,414	$96,284	$97,363	-$1,051	-1.1%	$19,472.56
5340 Fire & Life Safety	$1,052,778	$1,004,642	$1,043,566	-$9,212	-0.9%	$208,713.20
5350 Security	$106,205	$112,308	$116,909	$10,704	10.1%	$23,381.74
5360 Electricity - Common	$967,623	$939,571	$948,563	-$19,060	-2.0%	$189,712.60
5370 Gas - Common	$856,823	$791,506	$814,342	-$42,480	-5.0%	$162,868.48
5380 Water & Sewer	$935,058	$949,943	$980,583	$45,525	4.9%	$196,116.67
5390 Telephone/Internet	$148,566	$159,291	$161,647	$13,081	8.8%	$32,329.31
5400 Advertising	$399,607	$401,038	$402,595	$2,988	0.7%	$80,519.06
5410 Resident Events	$364,371	$350,986	$371,758	$7,388	2.0%	$74,351.66
5420 Office Supplies	$623,388	$627,363	$647,619	$24,231	3.9%	$129,523.79
5430 Legal & Professional	$198,079	$190,913	$192,070	-$6,010	-3.0%	$38,413.92
5440 Accounting & Audit	$1,017,443	$954,397	$1,000,221	-$17,223	-1.7%	$200,044.14
5450 Licenses & Permits	$243,642	$248,185	$253,749	$10,107	4.1%	$50,749.83
5460 Management Fee	$662,786	$656,588	$683,968	$21,182	3.2%	$136,793.58
5470 Property Insurance	$859,707	$823,476	$865,326	$5,619	0.7%	$173,065.18
5480 Real Estate Taxes	$490,621	$455,554	$476,062	-$14,559	-3.0%	$95,212.47
5490 Asset Management Fee	$404,644	$375,985	$390,682	-$13,962	-3.5%	$78,136.36
5500 Replacement Reserves	$128,817	$122,932	$130,268	$1,451	1.1%	$26,053.68
5510 Roof Repairs	$430,868	$449,565	$478,551	$47,683	11.1%	$95,710.17
5520 Parking Lot Repairs	$956,123	$963,837	$972,628	$16,504	1.7%	$194,525.56
5530 Signage	$609,106	$642,789	$653,099	$43,993	7.2%	$130,619.77
5540 Tenant Improvements	$889,656	$898,173	$957,115	$67,459	7.6%	$191,423.01
5550 Leasing Commissions	$643,659	$668,622	$697,693	$54,034	8.4%	$139,538.67
5000 Gross Potential Rent	$457,358	$432,477	$449,507	-$7,852	-1.7%	$89,901.34
5010 Loss to Lease	$534,315	$517,646	$522,389	-$11,926	-2.2%	$104,477.90
5020 Vacancy Loss	$626,418	$599,034	$640,868	$14,450	2.3%	$128,173.53
5030 Concessions	$239,451	$249,822	$251,251	$11,799	4.9%	$50,250.10
5040 Bad Debt	$470,504	$471,112	$499,473	$28,969	6.2%	$99,894.65
5050 Late Fees	$727,169	$716,816	$766,470	$39,301	5.4%	$153,293.99
5060 Utility Reimbursements	$614,680	$600,024	$614,172	-$508	-0.1%	$122,834.35
5070 Parking Income	$189,611	$193,252	$194,640	$5,029	2.7%	$38,928.09

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Valuation Discussion

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. The going-in capitalization rate of 6.05% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $461,000, representing a 9.6% increase over the prior year. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Management fees are calculated at 3.1% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.76x on a trailing basis against a covenant minimum of 1.20x. Average rent is $20 per square foot with parking at a ratio of 40 spaces per 1,000 square feet. Operating expenses totaled $209,000 or approximately 43.05 per square foot, with real estate taxes representing the largest line item.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 46 additional team members. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Average rent is $20 per square foot with parking at a ratio of 47 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 15 hours.

Income and Expense Review

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Operating expenses totaled $147,000 or approximately 47.80 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 5.51x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 5.58% reflects the in-place income and the stabilized occupancy assumption.

Effective gross income for the trailing period was $400,000, representing a 8.7% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. Operating expenses totaled $89,000 or approximately 18.30 per square foot, with real estate taxes representing the largest line item. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 14th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Service requests are tracked through a work-order system with an average completion time of 25 hours.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 9th business day. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

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Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5140 Insurance Reimbursements	$258,582	$257,677	$269,708	$11,126	4.3%	$53,941.56
5150 Percentage Rent	$70,362	$73,845	$78,384	$8,022	11.4%	$15,676.72
5160 Misc. Income	$72,227	$72,892	$73,337	$1,110	1.5%	$14,667.41
5170 Payroll - Management	$54,748	$58,087	$60,169	$5,422	9.9%	$12,033.88
5180 Payroll - Leasing	$1,045,906	$1,009,994	$1,049,709	$3,802	0.4%	$209,941.74
5190 Payroll - Maintenance	$705,421	$684,062	$695,873	-$9,548	-1.4%	$139,174.55
5200 Payroll Taxes & Benefits	$448,350	$414,553	$433,105	-$15,245	-3.4%	$86,620.99
5210 Repairs - Plumbing	$969,645	$933,150	$978,635	$8,990	0.9%	$195,726.94
5220 Repairs - HVAC	$75,937	$72,079	$76,509	$572	0.8%	$15,301.84
5230 Repairs - Electrical	$551,652	$563,759	$567,537	$15,884	2.9%	$113,507.32
5240 Repairs - Appliances	$125,634	$116,729	$118,662	-$6,972	-5.5%	$23,732.45
5250 Painting & Decorating	$450,380	$420,861	$433,826	-$16,554	-3.7%	$86,765.11
5260 Flooring	$955,520	$942,975	$972,813	$17,293	1.8%	$194,562.66
5270 Make-Ready / Turnover	$295,925	$284,210	$289,522	-$6,403	-2.2%	$57,904.35
5280 Landscaping Contract	$193,974	$206,226	$216,949	$22,975	11.8%	$43,389.82
5290 Snow Removal	$65,469	$62,248	$63,085	-$2,384	-3.6%	$12,617.00
5300 Janitorial	$311,132	$301,109	$313,325	$2,193	0.7%	$62,664.96
5310 Pest Control	$272,365	$284,061	$295,300	$22,936	8.4%	$59,060.07
5320 Trash Removal	$100,729	$101,255	$104,718	$3,990	4.0%	$20,943.67
5330 Elevator Contract	$700,201	$699,673	$715,963	$15,762	2.3%	$143,192.60
5340 Fire & Life Safety	$759,768	$786,274	$790,031	$30,263	4.0%	$158,006.22
5350 Security	$797,433	$769,115	$802,157	$4,723	0.6%	$160,431.38
5360 Electricity - Common	$710,775	$658,927	$685,683	-$25,092	-3.5%	$137,136.59
5370 Gas - Common	$111,307	$108,218	$112,802	$1,495	1.3%	$22,560.35
5380 Water & Sewer	$58,362	$62,375	$65,409	$7,047	12.1%	$13,081.79
5390 Telephone/Internet	$870,995	$805,321	$816,347	-$54,647	-6.3%	$163,269.46
5400 Advertising	$713,663	$719,683	$721,324	$7,662	1.1%	$144,264.83
5410 Resident Events	$962,967	$928,863	$969,349	$6,382	0.7%	$193,869.90
5420 Office Supplies	$565,066	$570,207	$577,799	$12,733	2.3%	$115,559.72
5430 Legal & Professional	$874,190	$861,568	$866,352	-$7,838	-0.9%	$173,270.46
5440 Accounting & Audit	$891,991	$891,909	$895,225	$3,235	0.4%	$179,045.02
5450 Licenses & Permits	$920,301	$945,795	$989,763	$69,462	7.5%	$197,952.64
5460 Management Fee	$738,323	$795,336	$820,111	$81,788	11.1%	$164,022.12
5470 Property Insurance	$297,611	$283,535	$297,420	-$191	-0.1%	$59,484.01
5480 Real Estate Taxes	$673,863	$671,925	$675,322	$1,459	0.2%	$135,064.39
5490 Asset Management Fee	$219,276	$231,252	$234,011	$14,735	6.7%	$46,802.16
5500 Replacement Reserves	$1,006,222	$927,637	$974,811	-$31,412	-3.1%	$194,962.10
5510 Roof Repairs	$407,658	$416,709	$438,909	$31,252	7.7%	$87,781.82
5520 Parking Lot Repairs	$339,555	$355,128	$359,830	$20,274	6.0%	$71,965.96
5530 Signage	$752,847	$748,162	$775,419	$22,571	3.0%	$155,083.78
5540 Tenant Improvements	$648,819	$647,270	$656,900	$8,082	1.2%	$131,380.08
5550 Leasing Commissions	$674,075	$622,018	$643,736	-$30,339	-4.5%	$128,747.21

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Operating Performance

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.95x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $435,000, representing a 11.9% increase over the prior year.

The going-in capitalization rate of 7.47% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period. Average rent is $20 per square foot with parking at a ratio of 2 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Management fees are calculated at 4.6% of collected revenue and are included in operating expenses.

Management Commentary

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 88.4% of billed charges, with bad debt of 7.7% of gross potential income. Average rent is $20 per square foot with parking at a ratio of 28 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Collections for the period were 93.3% of billed charges, with bad debt of 4.5% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 4th business day. Service requests are tracked through a work-order system with an average completion time of 37 hours. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 7 additional team members. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

Operating Performance

Management fees are calculated at 4.6% of collected revenue and are included in operating expenses. Average rent is $20 per square foot with parking at a ratio of 9 spaces per 1,000 square feet. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Operating expenses totaled $269,000 or approximately 29.73 per square foot, with real estate taxes representing the largest line item.

Effective gross income for the trailing period was $189,000, representing a 5.1% increase over the prior year. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Management fees are calculated at 4.1% of collected revenue and are included in operating expenses. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Property Operations

Collections for the period were 96.6% of billed charges, with bad debt of 3.2% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 41 hours. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Average rent is $20 per square foot with parking at a ratio of 18 spaces per 1,000 square feet.

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Annual Operating Budget by Account

Account	Prior Yr Actu	Prior Yr Budg	Current Budge	Variance $	Variance %	Per Unit/SF
5480 Real Estate Taxes	$365,463	$382,033	$386,809	$21,346	5.8%	$77,361.82
5490 Asset Management Fee	$1,054,515	$1,049,260	$1,058,264	$3,750	0.4%	$211,652.84
5500 Replacement Reserves	$594,183	$554,122	$562,956	-$31,228	-5.3%	$112,591.14
5510 Roof Repairs	$687,307	$668,792	$698,851	$11,543	1.7%	$139,770.16
5520 Parking Lot Repairs	$520,682	$495,915	$507,545	-$13,137	-2.5%	$101,508.93
5530 Signage	$961,147	$889,539	$919,335	-$41,812	-4.4%	$183,866.90
5540 Tenant Improvements	$383,317	$377,386	$378,459	-$4,858	-1.3%	$75,691.85
5550 Leasing Commissions	$338,563	$365,378	$372,473	$33,910	10.0%	$74,494.60
5000 Gross Potential Rent	$834,226	$890,061	$928,884	$94,658	11.3%	$185,776.89
5010 Loss to Lease	$919,823	$980,793	$1,004,248	$84,425	9.2%	$200,849.60
5020 Vacancy Loss	$221,412	$230,913	$241,115	$19,703	8.9%	$48,222.98
5030 Concessions	$962,382	$961,739	$980,523	$18,142	1.9%	$196,104.69
5040 Bad Debt	$60,098	$60,138	$61,981	$1,883	3.1%	$12,396.29
5050 Late Fees	$442,173	$473,891	$479,373	$37,200	8.4%	$95,874.61
5060 Utility Reimbursements	$975,355	$982,730	$995,893	$20,538	2.1%	$199,178.60
5070 Parking Income	$280,037	$291,976	$311,220	$31,183	11.1%	$62,243.94
5080 Application Fees	$1,028,033	$1,100,462	$1,106,635	$78,601	7.6%	$221,326.91
5090 Pet Rent	$765,022	$748,517	$770,561	$5,539	0.7%	$154,112.24
5100 Laundry Income	$220,600	$236,707	$241,230	$20,631	9.4%	$48,246.07
5110 Cable/Internet Revenue	$384,900	$407,092	$409,426	$24,526	6.4%	$81,885.29
5120 CAM Reimbursements	$784,959	$723,250	$767,527	-$17,432	-2.2%	$153,505.42
5130 Tax Reimbursements	$508,556	$485,982	$509,501	$945	0.2%	$101,900.24
5140 Insurance Reimbursements	$134,239	$128,880	$130,857	-$3,382	-2.5%	$26,171.46
5150 Percentage Rent	$604,231	$597,897	$623,348	$19,118	3.2%	$124,669.65
5160 Misc. Income	$410,624	$430,513	$452,345	$41,721	10.2%	$90,469.02
5170 Payroll - Management	$464,235	$487,807	$499,403	$35,169	7.6%	$99,880.67
5180 Payroll - Leasing	$1,034,964	$1,049,564	$1,111,983	$77,019	7.4%	$222,396.57
5190 Payroll - Maintenance	$611,959	$594,272	$595,337	-$16,621	-2.7%	$119,067.50
5200 Payroll Taxes & Benefits	$209,944	$221,436	$226,228	$16,284	7.8%	$45,245.52
5210 Repairs - Plumbing	$966,049	$975,743	$1,013,661	$47,612	4.9%	$202,732.22
5220 Repairs - HVAC	$388,811	$410,642	$416,195	$27,384	7.0%	$83,238.98
5230 Repairs - Electrical	$800,043	$800,260	$818,086	$18,043	2.3%	$163,617.20
5240 Repairs - Appliances	$261,998	$258,508	$269,825	$7,828	3.0%	$53,965.09
5250 Painting & Decorating	$425,630	$419,851	$432,195	$6,566	1.5%	$86,439.04
5260 Flooring	$468,169	$470,517	$502,791	$34,622	7.4%	$100,558.11
5270 Make-Ready / Turnover	$368,826	$379,855	$397,530	$28,704	7.8%	$79,505.97
5280 Landscaping Contract	$742,565	$695,824	$721,508	-$21,056	-2.8%	$144,301.63
5290 Snow Removal	$548,426	$532,814	$563,124	$14,697	2.7%	$112,624.76
5300 Janitorial	$721,015	$700,576	$743,804	$22,789	3.2%	$148,760.74
5310 Pest Control	$992,325	$970,253	$987,502	-$4,823	-0.5%	$197,500.42

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Operating Performance

Operating expenses totaled $152,000 or approximately 22.02 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 8.08% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.66x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. Operating expenses totaled $377,000 or approximately 31.58 per square foot, with real estate taxes representing the largest line item. Average rent is $20 per square foot with parking at a ratio of 38 spaces per 1,000 square feet. Effective gross income for the trailing period was $405,000, representing a 5.8% increase over the prior year.

Management Commentary

Average rent is $20 per square foot with parking at a ratio of 46 spaces per 1,000 square feet. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Service requests are tracked through a work-order system with an average completion time of 20 hours. Collections for the period were 94.5% of billed charges, with bad debt of 7.9% of gross potential income. Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 18 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Income and Expense Review

Co-tenancy provisions in the anchor lease are triggered if occupancy falls below 70%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. Average rent is $20 per square foot with parking at a ratio of 4 spaces per 1,000 square feet. Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period.

The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period. Average rent is $20 per square foot with parking at a ratio of 39 spaces per 1,000 square feet. Operating expenses totaled $134,000 or approximately 24.64 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $192,000, representing a 10.1% increase over the prior year.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 42 hours. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. The manager completes a monthly walk of the property and submits a variance report to the owner by the 14th business day.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease. Service requests are tracked through a work-order system with an average completion time of 5 hours.

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Summary and Notes

Income and Expense Review

Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Operating expenses totaled $130,000 or approximately 38.47 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 6.9% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Effective gross income for the trailing period was $384,000, representing a 5.5% increase over the prior year. Operating expenses totaled $439,000 or approximately 6.04 per square foot, with real estate taxes representing the largest line item. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Debt service coverage ratio was 5.30x on a trailing basis against a covenant minimum of 1.20x.

Management Commentary

Collections for the period were 89.1% of billed charges, with bad debt of 4.6% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 23 additional team members. Tenants pay percentage rent in addition to base rent and reimburse CAM, taxes and insurance on a triple net basis. Average rent is $20 per square foot with parking at a ratio of 37 spaces per 1,000 square feet.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 41th business day. Service requests are tracked through a work-order system with an average completion time of 28 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The center is anchored by a grocery tenant and supported by in-line shop space, pads and an outparcel ground lease.

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